

businesses such as generics, where he has no qualms about squarely facing up to bigger rivals. “As a company, we always want to compete with players bigger than us. In each of the businesses we are present in, like generics, we have become a very big player because we continue to grow,” he says. In contrast, he adds, even as the global specialty business nears a billion dollars in annual revenue, Sun Pharma would remain a small player in that business. “It gives us the ability to compete as a nimble small player with an ability to move faster,” he says.

It is this clarity of thought, and flexibility of strategy, that has helped Sun Pharma deliver on its promoter’s action plan in quick time. Shanghvi is clear on the company’s future strategy: “We will continue to look at interesting opportunities in dermatology and ophthalmology; products in Phase III or products close to market is where we will invest so that we are able to bring them to market faster.”

THE SUN RISES HIGH

Analysts are upbeat on the Sun Pharma stock, and it’s not difficult to see why. With ₹43,279 crore in consolidated revenues in FY23, the company is streets ahead of even second-placed Aurobindo Pharma at a distant ₹24,617 crore. Plus, Sun Pharma’s bottom line increased 159 per cent YoY to ₹8,474 crore in FY23 against ₹3,273 crore a year ago (part of the reason for the jump was a sharp fall in exceptional items or one-time expendi-

tures to ₹171 crore in FY23 against ₹4,567 crore a year ago, when the pharma major spent ₹3,723 crore on legal charges towards the settlement of an alleged violation of anti-trust laws in the US). The exceptional items also caused several key ratios to plunge into the red in FY22, including return on equity, return on capital employed and net profit ratio. But its record high net profit in FY23 has corrected that anomaly, albeit its margins still trail competition.

Investment bankers see Sun Pharma as “differentiated” amongst Indian pharma firms, having built a meaningful and fast growing global specialty business over the past decade. “Sun Pharma has been efficient in terms of capital deployment to scale up its specialty business both organically through investments in R&D and commercial infrastructure, as well as through acquisitions or in-licensing of multiple specialty products over time,” says Subhakanta Bal, MD of Rothschild & Co., a multinational investment bank and financial services company. “In doing so, Sun Pharma has evolved into a partner of choice in its core therapy areas such as dermatology and ophthalmology for global innovator companies.”

The company’s share price, which trailed the benchmark S&P BSE Sensex from FY18 (see chart), has seen an approximately 26 per cent uptick over the past 12 months—despite a relatively moderate performance by the pharma sector overall—and has recently begun to outperform the benchmark index. “The optimism has been driven by a strong FY23 performance, which seems

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